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Derogation Management Procedure

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Life Is On



Derogation Management Procedure

ProQ_GL23

Purpose

The purpose of derogation is to authorize, for a short-defined period and under specific & approved condition(s), an entity to deviate from the current standard engineering or process specifications.

The Derogation must remain an exceptional decision, limited in time or quantity and driven only by quality consideration. It should not be influenced by supply chain constraint such as shortage, load, etc., ...

Scope

- All GSC & ETO Factories
- Line of Business Entities

Target Audience

- GSC Technical Antenna Engineer & Manager
- GSC CS&Q Engineer & Manager
- Offer Quality Leader / Squad Quality leader
- Continuous Engineer / PTL and OTL
- Marketing Leader / Product Owner
- DFSR Practitioner
- Industrial Quality Leader
- Chapter Leader
- Scrum master

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Derogation Management Procedure, Continued

References

- DirQ_GL43 Quality Fundamentals for GSC
 - DirQ_GL52 Nonconformities Management Directive
 - [Offer Lifecycle Management \(OLM\)](#)
 - ProQ_GL15 Offer Safety Issue Procedure
 - ProQ_GL32 DfSR Score Cards Procedure
 - ProQ_92 Offer Safety Review
 - [ForQ_GL45 Derogation Risk Analysis Template](#)
 - [Internal Schneider Electric Encyclopedia iSEE](#)
-

Process Inputs

There are several potential inputs to a derogation. It's any deviation from the current standard engineering or process specifications. It is applicable at any stage of the product lifecycle (Design to Customer Delivery) –

<https://olm.se.com/>

- Product Nonconformity (Failed Surveillance test, Customer return due to product performance gap, Regulation gap, part gap, routine test failure, CTQ gap...)
- Process Nonconformity (Poka Yoke Failure, CTQ/CTP referential missing, Customer Return due process issue, PPAP not finished, Red SAM supplier, risk buy...)

Note: All derogations must be raised and followed in [eDerogation](#)

Process Overview

The derogation/exception management (see process map in [Appendix A](#) and [Appendix B](#)) includes:

- **Issue identification:** Recognizing a situation where a deviation from standard procedures or requirements is necessary.
 - **Derogation creation:** Submission of a formal request outlining the deviation needs, including justification, risk analysis, containment & convergence/corrective plans.
 - **Derogation decision:** Review the derogation decision request with the key stakeholder and to reject or approval.
 - **Derogation implementation & monitoring – if approved:** Execution & monitoring of derogation and its actions following stakeholder decision.
 - **Derogation extension request – if needed:** Request of derogation timeline or quantity extension.
 - **Derogation Closure**
 - **Derogation Review:** Review of all open derogation to monitor that all action is properly in place and that no quality escape is happening.
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Derogation Management Procedure, Continued

Issue Identification

- Before starting to identify any issue, everyone must be sure to have a clear understanding of the standard processes, product specifications, quality standards and regulatory requirements.
- First, identify the issue that will require a derogation. There are 2 types of derogations (Product and Process) that can be triggered by different failure, please find below some examples:
 1. Surveillance test failure – Manufacturing
 2. Nonconformity identified on manufacturing process – Manufacturing
 3. Nonconformity identified on incoming parts - Manufacturing
 4. Repetitive failure from customer return – Manufacturing
 5. Supplier - Orange SAM or approved supplier - Manufacturing
 6. Incomplete PPAP during offer launch – LOB
 7. Missing Poka Yoke during offer launch – LOB
 8. Gap during qualification test – LOB
 9. Field test traceability – (Beta version...) – LOB.

When the issue is identified the line must be stopped and if the issue impact customer safety or any regulatory compliances (**DirQ_GL43 Quality Fundamentals for GSC and ProQ_GL15 Offer Safety Issue Procedure**) the line shall remain stopped until the derogation is raised and approved.

- However, for any other issue the CS&Q manager shall decide to either keep the line stopped or restart the line under proper containment actions. While deploying the containment action the team / person who needs the derogation can start the creation steps.
- If gap identified is in IG supplier, product manufacturing entity shall raise the derogation.

When the gap is identified at release (product launch) derogation can be raised by the Line of business. However, If the issue impacts safety or any regulatory compliances, derogation is not allowed (**ProQ_92 Offer Safety Review, ProQ_GL32 DfSR Score Cards Procedure**).

- The department who is impacted by the issue (ex: shortage – Supply Chain, Line layout – Methods, QVE – Technical antenna...) will become the derogation owner and will lead the derogation process with the support of Quality department.
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Derogation Management Procedure, Continued

Derogation Creation

- Once the gap is identified the CS&Q manager or Offer Quality Leader shall support the derogation owner in identifying the type of derogation (Product, Process) and preparing the below required information.

Information	Description
Justification report	A comprehensive justification report is essential, explaining the circumstances necessitating the deviation. This should include a detailed explanation of the potential impact if the derogation is not granted
Risk Analysis / Impact assessment	It explains the potential effects of the derogation on product quality, customer safety & satisfaction, regulatory compliance. It shall include relevant data and analysis. It is performed by the technical antenna engineer or OTL/PTL with sister plant using impacted part or sub-system. It must be done with ForQ_GL45 Derogation Risk Analysis Template or directly inside the software eDerogation.
Action plan	Containment (temporary action to contain the risk on the lines) & Convergency / Corrective (action deployed to come back to normal) action plan must be defined prior to the derogation submission.
Duration or Qty	The derogation can be either limited by time or Quantity: - Define the Start and End Date of the derogation following the duration matrix (annex B) - Define the Qty of product that will be impacted by the derogation.
Data & Analysis (If applicable)	Additional supporting data and analysis may be required. This could include technical reports, test results, or other relevant documentation.
Previous derogation records (if applicable)	If the derogation request is related to a recurring issue or builds upon previous approvals, relevant previous approvals or records must be included for context
Stakeholder Input (if applicable)	It is feedback from quality engineers, engineering, production teams, or other relevant stakeholders supporting the derogation needs.
Regulatory References (if Applicable)	If the derogation request involves regulatory compliance, relevant regulatory references, standards, or guidelines must be included.

- It's the responsibility of the derogation owner to ensure that those documentation are accurate and supported by real facts and data!**
- Once all the documentation is ready the Derogation can be submitted to decision.
- Note:** All derogations must be raised and followed in eDerogation.

Derogation Management Procedure, Continued

Derogation Decision

- The derogation shall be approved by the below stakeholders if initiated by manufacturing. This order must be strictly respected.
 1. Technical Antenna Manager
 2. Plant CS&Q Manager
 3. Continuous Engineering / PTL or OTL
 4. Offer Marketing Leader / Product Owner – Only if visible impact by customer (depend on Potential End Effect)
 5. Offer Quality Manager (OQL) / Squad Quality Leader
 6. If Severity 9&10 - League Quality leader
 - The derogation shall be approved by the below stakeholders if initiated by the line of business during new offer creation. This order must be strictly respected.
 1. Continuous Engineering / PTL or OTL
 2. Industrial Leader – Only if link to new offer industrialization.
 3. Offer Marketing Leader / Product Owner – Only if visible impact by customer (depend on Potential End Effect)
 4. DFSR Practitioner / PQL
 - Offer Safety Officer, CS&Q Regional VP and Offer CS&Q VP shall be informed of the derogation with Sev 9 or 10. Plant CS&Q & TA manager shall be informed of any derogation from line of business impacting them.
 - Each stakeholder that approved the derogation become responsible and accountable of its outcome. Each stakeholder can request more documentations, information, or further actions before approving the derogation. Each stakeholder can reject the derogation if needed. If one decides to reject the derogation demand, the whole derogation is rejected, and the process stop there.
 - More stakeholders can be added to the derogation following the requirement however Offer Quality Manager or League Quality leader (if from Manufacturing) or DFSR practitioner (If from LoB) shall be the last person to approve the derogation as it is a quality decision.
 - If the factory is not able to fulfill the traceability requirement (see [Derogation closure](#) section), the derogation shall be rejected. It is the responsibility of the Offer Quality leader to obtain those traceability requirements at the end of the derogation.
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Derogation Management Procedure, Continued

Implementation & Monitoring

- Once the derogation request is approved, the derogation owner shall launch and drive the deployment of the containment actions on the targeted processes as per the derogation agreement.
 - The good deployment of the containment actions must be verified & signed by the plant CS&Q manager to start the line under the derogation. A record (digital or physical) of this verification and signature must be kept and attached to the derogation.
 - On daily basis, the CS&Q Manager must ensure that the containments action(s) are still in place. If any gap or missing action is identified, the line must be stopped immediately, and that gap must be closed before restarting the line.
 - **Note**: Do not forget to update the Quality Fundamental impacted by the derogation (PY/JD, Ok 1st Part, TQW...)
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Derogation Management Procedure, Continued

Derogation extension request

- 2 weeks before the end of the derogation, the derogation owner and all the stakeholders can decide to extend the derogation following derogation duration table ([Appendix C](#)). Derogation can only be extended once.
- An extension shall not be requested or granted if the derogation original end date is already pass. Overdue Derogation is not allowed.
- The below information must be provided to proceed further:

Information	Description
Extension Justification report	A comprehensive justification report is essential, explaining the circumstances necessitating the deviation extension. This should include a detailed explanation of the potential impact if the derogation is not granted
Risk Analysis	Review and update risk analysis perform for the derogation submission.
Action plan	Containment & Convergence / Corrective action plan must be re-defined prior to the derogation extension submission.
Define Duration or Qty	The derogation can be either limited by time or Quantity: - Define the new End Date of the derogation extension following the duration matrix (annex B). The Original end date will become the extension start date. - Define the Qty of product that will be impacted by the derogation.
Data & Analysis (if applicable)	Additional supporting data and analysis may be required. This could include technical reports, test results, or other relevant documentation

- Once those documents are available, the extension request shall be submitted to stakeholders' decision following approval path page 6.
- If approved, the CS&Q Manager must verify & sign once again that the containments are deployed as per the derogation agreement.
- If the extension is not approved, the derogation must be closed following the defined convergence / corrective action plan. If the end date is reached already the manufacturing line must be stopped, and the derogation shall be closed in the system (eDerogation). The derogation process shall be restarted from issue identification and new derogation shall be raised.

Derogation Management Procedure, Continued

Derogation Closure

- If the derogation is not close on time, the manufacturing line must be stopped, and the derogation shall be closed in the system (eDerogation). The derogation process shall be restarted from issue identification and new derogation shall be raised.
- If the derogation is on track, on the last week of the derogation, the convergency / corrective action plan shall be fully completed as defined, to restart the manufacturing line without mitigation actions.
- Once the recovery plan is completed, the CS&Q Manager shall verify & sign that the line is back to normal without any mitigation action remaining. This record must be kept and attached to the derogation.
- The derogation owner must attach all the below traceability information before closing the derogation:

Information	Description
Product Reference	All the references that were produced under the derogation condition on the line.
Serial Number	All the serial numbers / batch numbers of the references being produce under the derogation condition on the line.
Manufacturing Date	The Manufacturing date that the references were produced under the derogation on the line.

- If the factory is not able to track this information, the derogation shall be rejected. It is the responsibility of the Offer Quality leader to obtain those traceability requirements at the end of the derogation.
- Once close, OQL (LoB derogation) or CS&Q Manager (Manufacturing derogation) shall animate a learning lesson session with all the stakeholders to review the derogation management and area of improvement.
- Once the derogation is closed, a root cause analysis (8D, KATA QRCI...) shall be performed by the manufacturing (Manufacturing derogation) or line of business (LoB derogation) entity with proper action plan to prevent nonconformity to re-occur.

Derogation Management Procedure, Continued

Derogation review

- On weekly basis, the CS&Q manager shall review all the open derogation in the factory.
 - On bi-weekly basis, the CS&Q Cluster director must review with its factories the opened derogations and their status.
 - On monthly basis, the Offer Quality Manager must animate a review session with its factories on the opened derogations.
 - On monthly basis, League Quality Leader must animate a review session with its team on the opened derogations.
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Process Outputs

All the derogation closed with all the convergency / corrective action completed.

Monitoring & Control

- Overdue Derogation: Overdue derogation is not allowed. Derogation portfolio shall be assiduously followed and mastered by CS&Q Manager & Offer Quality leader to ensure that no overdue derogation happen. Derogation is a temporary quality concession and must be closed on time.
 - % of Derogation Extension: This is a key indicator of the Quality Management and mindset of an entity (Factory / LoB). It shows the capability to respect the process and to deliver the commitment on time.
 - Re-occurring Derogation: It is an important signal on the quality of an offer / process. We must ensure to avoid derogation re-occurrence to prevent derogation to become part of the normal operation.
 - Number of Derogation YTD: This number must be shared every quarter by the GSC region VP during the QBR.
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Derogation Management Procedure, Continued

Roles & Responsibilities

Refer to [Appendix D](#) for detailed [RACI](#) matrix per process steps.

Role	Responsibilities
Process Owner	• Monitor effectiveness of this process • Review adequacy of this document
Derogation Owner	• Create the Derogation • Drive / Lead the derogation approval
CS&Q or Technical Engineer	• Perform the Risk Analysis & Impact assessment. • Define and deploy temporary corrective action.
CS&Q Manager	• Approve the derogation. • Verify and sign the temporary corrective action implementation.
Technical Antenna Manager	• Approve the derogation. • Verify and signed Risk Analysis & Impact assessment
Continuous Engineering / PTL & OTL	• Approve the derogation. • Verified and signed the Risk Analysis & Impact Assessment
Offer Quality Leader / Squad Quality Leader	• Approve the derogation. • Own traceability information.
Product Owner / Offer Marketing Leader	• Approve the derogation. • Verified and validate impact of derogation on Customer.
Quality League Leader	• Approve derogation with severity 9&10

Derogation Management Procedure, Continued

Competency Requirements

Role	Knowledge	Competency Level	Intervention
Process Owner	Process Subject Matter	Competent	• Training on the Derogation process • Experience
Derogation Owner	This Procedure	Competent	• Training on the Derogation process • Experience
CS&Q / Technical Engineer	This procedure •DirQ_GL52 •DirQ_GL43	Competent	• Training on the Derogation process • Practice
CS&Q / Technical Antenna Manager	This procedure •DirQ_GL52 •DirQ_GL43	Advance	• Training on the Derogation process • Practice
Continuous Engineering / OTL & PTL	This procedure •OLM •ProQ_GL15 •ProQ_GL32 •ProQ_GL92	Competent	• Training on the Derogation process • Practice
Offer Quality leader / Squad Quality Leader	This procedure •OLM •ProQ_GL15 •ProQ_GL32 •ProQ_GL92	Advance	• Training on the Derogation process • Practice
Offer Marketing leader / Product Owner	This procedure •OLM •ProQ_GL15 •ProQ_GL32 •ProQ_GL92	Competent	• Training on the Derogation process • Practice
League Quality Leader	This procedure •OLM •ProQ_GL15 •ProQ_GL32 •ProQ_GL92	Competent	• Training on the Derogation process • Practice

Derogation Management Procedure, Continued

Quality Records

Record	Record Location	Retention Period
Derogation Number	eDerogation	Product lifetime
Traceability information	eDerogation	Product lifetime

Terms & Acronyms

The table below includes definitions for terms and acronyms used in this document. Reference [iSEE](#) for a full list of terms and acronyms used in the SE IMS.

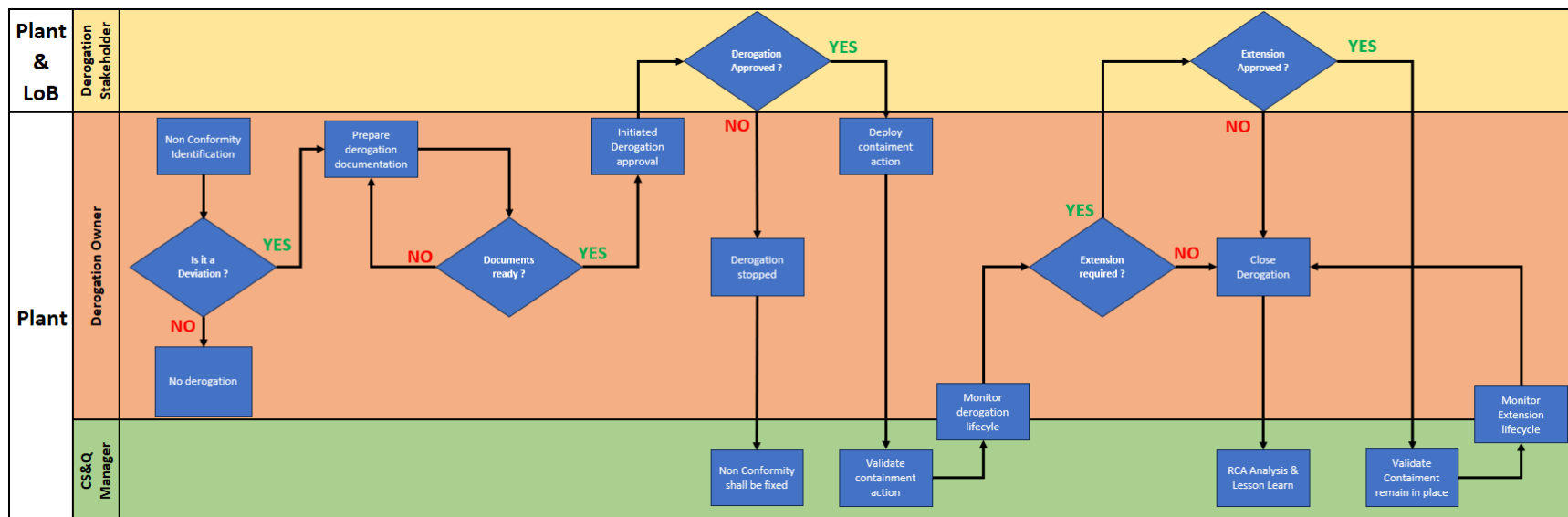
Term	Definition
CS&Q	Customer Satisfaction & Quality
GSC	Global Supply Chain
ETO	Engineering To Order
LOB	Line of Business
OTL	Offer Technical Leader
PTL	Project Technical Leader

Document Control

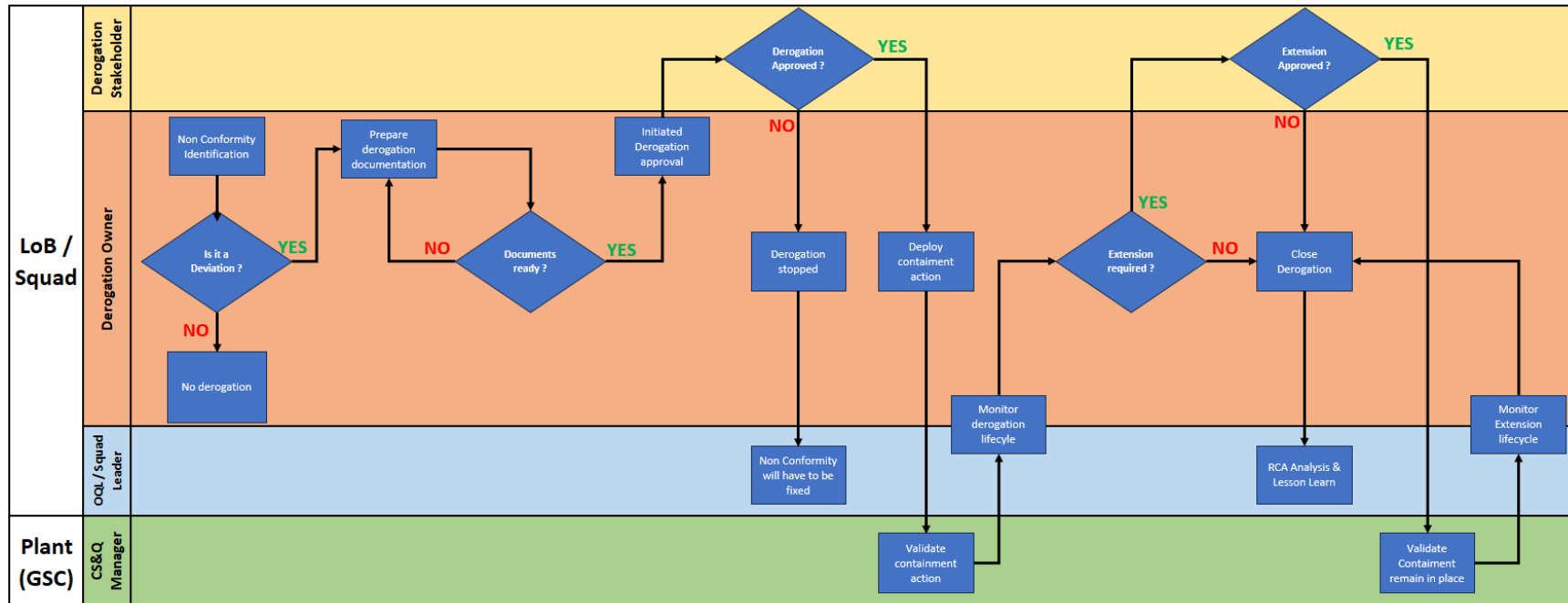
Function	Names
Process Owner	Allan Bocq
Verifier/ Functional Leader	Erik Palmer
Approver/ CS&Q QMS VP	Magdalena Michulec

Revision	Date	Author	Summary of Change
1.0	September 27, 2024	Allan Bocq	Initial release. Supersedes chapter 19 “Derogation (Concession/Deviation) Management” in DirQ_GL32 Plants Lines of Business quality coordination.

Appendix A: Process Flow Chart GSC



Appendix B: Process Flow Chart LOB



Appendix C: Duration Severity Matrix

Severity	Max Duration (without extension)	Extension Max duration
Sev 1	9 month	9 month
Sev 4		
Sev 7	6 Month	6 Month
Sev 9 & 10	3 Month	3 Month

Appendix D: RACI

Manufacturing Derogation				
Process Steps	Responsible	Accountable	Consult	Inform
Derogation Creation	Derogation Owner	CS&Q Manager	Technical Antenna Manager	Plant Director Offer Quality Leader
Derogation Documentation	CS&Q / Technical Engineer	Derogation Owner	OTL/PTL Offer Quality Leader	
Derogation Approval	Approval Stakeholder*	Derogation Owner		Plant Director Quality League Leader
Derogation Monitoring	Derogation Owner	CS&Q Manager		Plant Director Offer Quality Leader OTL/PTL
Derogation Extension	Approval Stakeholder*	Derogation Owner	OTL/PTL Offer Quality Leader	Plant Director Quality League Leader
Derogation Closure	Derogation Owner	CS&Q Manager / Offer Quality Leader		Plant Director Offer Quality Leader OTL/PTL
Derogation Review	Offer Quality Leader / CS&Q Manager	League Quality Leader/ CS&Q Cluster Director		OTL / PTL

*Approval Stakeholder - Please refer to Derogation approval section

Line of Business Derogation				
Process Steps	Responsible	Accountable	Consult	Inform
Derogation Creation	Derogation Owner	DfSR Practitioner	OTL/PTL Product Owner Industrial Leader	League Quality Leader / CS&Q Manager (GSC)
Derogation Documentation	Derogation Owner	DfSR Practitioner	Product Owner Industrial Leader OTL/PTL	
Derogation Approval	Approval Stakeholder*	Derogation Owner		League Quality Leader
Derogation Monitoring	Derogation Owner	DfSR Practitioner	Industrial Leader CS&Q Manager (GSC)	League Quality Leader
Derogation Extension	Approval Stakeholder*	Derogation Owner	OTL/PTL Product Owner Industrial Leader	League Quality Leader / CS&Q Manager (GSC)
Derogation Closure	Derogation Owner	DfSR Practitioner	OTL/PTL Product Owner Industrial Leader	League Quality Leader / CS&Q Manager (GSC)
Derogation Review	DfSR Practitioner	League Quality Leader		CS&Q Manager

*Approval Stakeholder - Please refer to Derogation approval section

REVISION HISTORY SUMMARY

Approvers	Requested By	Change Description	Reason for Change	Revision	Revision Date	Contributors
MAGDALENA MICHULEC; ERIK PALMER	HAOYING ZHOU	* This document has been migrated from the Global QMS Documents Platform (SharePoint) without revision changes. Process owner/Document author and revision details are specified in the document itself. * A summary of previous revisions is available only in the migrated version.	Document migration	1.0	09/27/2024	